

The 2AXC Was Timely Filed.

“Following a ruling on a demurrer, unless otherwise ordered, leave to answer or amend within 10 days is deemed granted...” (Cal. Rules of Court, rule 3.1320(g).)

The 10-day time limit does not run from pronouncement at a hearing of the Court’s decision. Section 472b of the California Code of Civil Procedure is clear; “[w]hen a demurrer to any pleading is sustained or overruled, and time to amend or answer is given, the time so given runs from the service of notice of the decision or order, unless the notice is waived in open court, and the waiver entered in the minutes.” (Civ. Proc. Code § 472b.) In short, “the time to amend a complaint following a demurrer runs from notice of the ruling, not the ruling itself even if counsel is present.” (*People v. \$20,000 U.S. Currency* (1991) 235 Cal.App.3d 682, 691.)

Here, Cross-Complainants did not waive notice in open court, nor was any such waiver recorded in this Court’s August 7, 2020, minute order. Rather, the Court (Judge Douglas) specifically instructed the parties to prepare a formal order, which was not filed until August 20, 2025. The triggering event that starts the clock on the days is the notice of the order which was not filed until September 29, 2025. The 2AXC was filed before then on August 15, 2025. The 2AXC was filed timely.

“Wrongfully” Terminated Language

Cross Defendants request that the Court strike the allegation that Gary Johnson was wrongfully terminated because 2AXC does not plead a cause of action for wrongful termination. Nor does it even allege facts that would support the elements of a wrongful termination. (Motion to Strike p. 6: 5-7; 2AXC ¶ 80.) The 2AXC alleges that his termination was wrongful in the context that SPA, Khan, and Clifford “conspired to out Gary Johnson from Sunpoint as part of a scheme and pattern to take his stock for less than fair market value. (Motion to Strike p. 6: 13-16; 2AXC ¶ 80.)

Cross Defendants’ position is unsupported by the allegations. The wrongful termination was alleged as part of a scheme that constituted a breach of fiduciary duty. Cross Defendants did not present any law that suggests that a breach of fiduciary claim cannot be based on conduct constituting wrongful termination.

Conclusion

In consideration of the above, **Motion to Strike is denied.**

20. 9:00 AM CASE NUMBER: C23-02761

CASE NAME: SUNPOINT PUBLIC ADJUSTERS, INC. VS. GARY JOHNSON

HEARING ON DEMURRER TO: TO 2ND AMENDED CROSS-COMPLAINT FILED BY SUNPOINT PUBLIC ADJUSTERS INC.

FILED BY:

TENTATIVE RULING:

Introduction

Before the Court is the Demurrer of Cross-Defendants Defendants SUNPOINT PUBLIC ADJUSTERS, INC. GREGG CLIFFORD and MASOOD KHAN (collectively “Cross-Defendants”) filed September 29, 2025, to the Second Amended Cross Complaint (“2AXC”) of Cross-Complainants GARY JOHNSON, KEVIN

JOHNSON, AND JOHNSON AND JOHNSON CONSULTING, INC. (collectively “Cross-Complainants”) filed August 15, 2025.

For the following reasons, the Demurrer is **sustained** for the Third Cause of Action for breach of fiduciary duty against Gregory Clifford and Masood Kahn with leave to amend and **sustained** for the Fourth Cause of Action for breach of fiduciary duty against Masood Kahn with leave to amend.

Meet and Confer Requirement

Cross-Defendants satisfied their meet and confer requirement regarding their Demurrer in detailing their meet and confer efforts with Cross-Complainants’ counsel in the Declaration of Kevin P. Lee. Cross-Defendant’s counsel explained its meet and confer efforts which took place with a phone call on September 24, 2025. (Lee Decl. at ¶ 22; Ex. B.)

Request for Judicial Notice

Cross-Defendants request judicial notice of the order on the Demurrer for the First Amended Cross Complaint (“FAXC”) and the Second Amended Cross Complaint (“2AXC”). (Lee Decl. at ¶ 22; Ex. B.) Both are filings in this instant matter.

A court may take judicial notice of court records pursuant to Evid. Code, § 452(d), however, when taking judicial notice of court records, the court is limited to noticing the *existence* of each document in a court file. (*Day v. Sharp* (1975) 50 Cal.App.3d 904, 914.) The court can only take judicial notice of the truth of facts asserted in orders, findings of fact and conclusions of law, and judgments. (*Ibid.*) “The truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113.)

The Court grants **the request for judicial notice.**

Factual Background:

Cross Complainants allege that Sunpoint is a public insurance adjusting firm that represents policyholders in connection with negotiating and resolving first-party insurance claims for property losses or damages resulting from natural disasters against insurance companies. (2AXC ¶ 10.) Cross Complainant Gary Johnson joined Sunpoint in September 2018, when he became a 25% equity owner/shareholder, director, and Chief Operating Officer of Sunpoint. He later became Sunpoint’s Chief Financial Officer. (2AXC ¶ 11.) Gary Johnson alleges he was a key member of the team that generated referrals that propelled Sunpoint to a valuation of approximately \$20 million dollars. (2AXC ¶ 11.)

Gary Johnson previously knew Cross-defendant Masood Kahn from working together at a prior insurance public adjusting firm. When Kahn, a licensed attorney, joined Sunpoint, Gary Johnson and the other three owners each gave 5% of their stock to Kahn, so that Sunpoint was then and now owned by five shareholders each owning 20% of Sunpoint. (2AXC ¶ 12.)

Cross Complainants alleged that Cross Defendants Gregory Clifford, the President, and CEO of Sunpoint, and Masood Kahn, a director and General Counsel conspired to oust and remove Gary Johnson from Sunpoint in May 2023. The Cross Complainants allege that Gary Johnson was removed as a director in order to seize his 20% ownership interest in Sunpoint. (2AXC ¶ 13.) Cross Complainant alleged that Gary Johnson was forced to sign a Separation Agreement which he alleged prevents him

from earning a living in his profession. (2AXC ¶ 13.)

Cross Complainants alleged that on July 15, 2023, Cross Defendant Clifford emailed Gary Johnson that Sunpoint was buying back Johnson's company shares from him pursuant to a Shareholder Agreement (Shareholder Agreement) dated November 26, 2028. (2AXC ¶ 15.)

The 2AXC plead that the Shareholder Agreement specifically required that any such valuation report "shall be prepared by Sunpoint's accountant," and that Sunpoint's account was Michael Tchalikian, CPA. (2AXC ¶ 16.) The 2AXC alleged that instead of using Sunpoint's accountant, as required by the Shareholder Agreement, Sunpoint hired a third-party accounting firm, Magidov CPA, which firm knew very little about the business of Sunpoint. (2AXC ¶ 16.)

Cross Complainants alleged that Sunpoint was valued at between \$15 million to \$20 million dollars at the time of Gary Johnson left the company. (2AXC ¶¶ 15, 33.) The 2AXC alleges that Magidov CPA was given incorrect, improper and incomplete information and that as a result, Magidov's valuation of Sunpoint was artificially depressed. (2AXC ¶ 32-34.)

The 2AXC alleged that on July 15, 2023, Sunpoint undervalued Gary Johnson's stock at \$520,000, instead of the \$3 million actual worth of the stock. (2AXC ¶¶ 15, 33.)

Cross Complaints further alleged that Sunpoint refused to pay Kevin Johnson approximately \$100,000 in earned commissions currently owed to Kevin Johnson at the time it terminated his employment. (2AXC ¶¶ 37, 50-51.) Sunpoint also terminated Sandi Smith, who was Sunpoint's Director of Operations from December 17, 2018, until she was terminated in September 2023. (2AXC ¶¶ 38, 50.)

Cross-Complainants also alleged that Cross-Defendants are attempting to enforce illegal non-compete covenants against both Gary and Kevin Johnson. (2AXC at ¶¶ 40-49.)

Legal Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("Doe v. LA")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe v. LA, supra*, 42 Cal.4th 531 at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Applicable Law

The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach. (*Knox v. Dean* (2012) 205 Cal.App.4th 417, 432-433.) "Whether a fiduciary duty exists is generally a question of law. Whether the defendant breached that duty towards the plaintiff is a question of fact." (*Marzecv. Public Employees' Retirement System* (2015) 236 Cal.App.4th 889, 915.)

"[E]xamples of relationships that impose a fiduciary obligation to act on behalf of and for the benefit of another are 'a joint venture, a partnership, or an agency.' But, '[t]hose categories are merely illustrative of fiduciary relationships in which fiduciary duties are imposed by law.' " (*Cleveland v. Johnson* (2012) 209 Cal.App.4th 1315, 1339.) "There is a 'strong public interest in assuring that

corporate officers, directors, majority shareholders and others are faithful to their fiduciary obligations to minority shareholders.' " (*Meister v. Mensinger* (2014) 230 Cal.App.4th 381, 395.)

"A shareholder's derivative suit seeks to recover for the benefit of the corporation and its whole body of shareholders when injury is caused to the corporation that may not otherwise be redressed because of failure of the corporation to act. Thus, 'the action is derivative, i.e., in the corporate right, if the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, *or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.*' [Citations.] ' . . . The stockholder's individual suit, on the other hand, is a suit to enforce a right against the corporation which the stockholder possesses as an individual.' [Citation.]" (*Jones v. H. F. Ahmanson & Co.* (1969) 1 Cal. 3d 93, at 106-107. Emphasis added.)

"It is a general rule that a corporation which suffers damages through wrongdoing by its officers and directors must itself bring the action to recover the losses thereby occasioned, or if the corporation fails to bring an action, suit may be filed by a stockholder acting derivatively on behalf of the corporation. An individual [stockholder] may not maintain an action in his own right . . . for destruction of or diminution in the value of the stock. . . ." (*Rankin v. Frebank Co.* (1975) 47 Cal. App. 3d 75, 95.)

Analysis

Third Cause of Action for Breach of Fiduciary Duty Against Cross Defendants Gregory Clifford and Masood Kahn

Cross-Defendants demur to Third Cause of Action for Breach of Statutory Fiduciary Duty Against Gregory Clifford and Masood Khan on the grounds that it is "an improperly pled derivative shareholder action."

Shareholders may bring two types of actions, "a *direct* action filed by the shareholder individually (or on behalf of a *class* of shareholders to which he or she belongs) for injury to his or her interest *as a shareholder*," or a "*derivative* action filed on *behalf of the corporation* for *injury to the corporation* for which it has failed or refused to sue." (Friedman, Cal. Practice Guide: Corporations (The Rutter Group 2004) ¶ 6:598, p. 6-127.) "The two actions are mutually exclusive: i.e., the right of action and recovery belongs either to the *shareholders* (direct action) or to the *corporation* (derivative action)." (*Ibid.*) When the claim is derivative, the "shareholder is merely a nominal plaintiff Even though the corporation is joined as a nominal defendant . . . , it is the real party in interest to which any recovery usually belongs." (Friedman, *supra*, ¶ 6:602, pp. 6-128.1 to 6-128.2.)

Under California law, "a shareholder *cannot* bring a direct action for damages against management on the theory their alleged wrongdoing decreased the value of his or her stock (e.g., by reducing corporate assets and net worth). The corporation itself must bring such an action, or a derivative suit may be brought on the corporation's behalf." (*Schuster v. Gardner* (2005) 127 Cal.App.4th 305, 312, citing Friedman, Cal. Practice Guide: Corporations, *supra*, ¶ 6:601.1, p. 6-128.1, citing *Sutter v. General Petroleum Corp.* (1946) 28 Cal.2d 525, 529–530, *O'Hare v. Marine Electric Co.* (1964) 229 Cal. App. 2d 33, 36–37.) A different rule would "authorize multitudinous litigation and ignore the corporate entity." (*Sutter v. General Petroleum Corp.*, *supra*, at p. 530.)

An action is derivative if "'the gravamen of the complaint is injury to the corporation, or to the whole body of its stock and property without any severance or distribution among individual holders, or it seeks to recover assets for the corporation or to prevent the dissipation of its assets.'" (*Jones*

v. H. F. Ahmanson & Co. supra, 1 Cal.3d at 106.) Shareholders may bring a derivative suit to, for example, enjoin or recover damages for breaches of fiduciary duty directors and officers owe the corporation. (Friedman, Cal. Practice Guide: Corporations, *supra*, ¶ 6:604, p. 6-128.2.) An individual cause of action exists only if damages to the shareholders were not *incidental* to damages to the corporation. (*Jones v. H. F. Ahmanson & Co., supra*, 1 Cal.3d at 107.) Examples of direct shareholder actions include suits brought to compel the declaration of a dividend, or the payment of lawfully declared or mandatory dividends, or to enjoin a threatened ultra vires act or enforce shareholder voting rights. (Friedman, *supra*, ¶ 6:601, p. 6-128.)

Derivative Claims Do Not Necessitate a Separate Lawsuit

Cross Defendants cite citing *PacLink Communications Internatl., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, 965 for the proposition that a separate lawsuit must be brought by the corporation, because an individual shareholder may not maintain an action in his own right for destruction or diminution of the value of the corporation. (Demurrer at p. 11: 19-24, *PacLink Communications Internatl., Inc. v. Superior Court* (2001) 90 Cal.App.4th 958, 965, citing *Rankin v. Frebank Co.* (1975) 47 Cal.App.3d 75, 95.)

In *PacLink*, the Court of Appeal reaffirmed the general rule that an “individual stockholder may not maintain an action in his own right for destruction of or diminution in the value of the stock.” (*PacLink*, *supra*, 90 Cal.App.4th at 965 [internal quotation and alteration omitted].) Instead, if the corporation fails to file suit itself, a “suit may be filed by a stockholder acting derivatively on behalf of the corporation.” (*Ibid.* [internal quotation omitted].) Consequently, because plaintiffs’ causes of action were “pled against defendants ... as personal causes of action,” rather than as derivative causes of action, the Court of Appeal instructed the trial court to sustain the demurrer, because the claims were derivative in nature, not direct claims. (*Ibid.* at 965-66.)

Cross Defendants’ reliance on *PacLink* for the proposition that a separate lawsuit must be brought for a derivative claim is misplaced. Neither *PacLink* nor any other authority cited by Cross Defendants hold that direct and derivative claims must be pursued in separate lawsuits.

Personal v. Derivative claims

Cross Defendants argue that the allegations in the Third Cause of Action constitute a direct or individual claim by Gary Johnson instead of a derivative claim. This Court agrees.

The Third Cause of Action alleges a conspiracy by Cross Defendants Gregory Clifford and Masood Kahn to seize Cross Complainant Gary Johnsons stock by hiring an accountant firm, in violation of the Shareholder Agreement, to artificially lower the valuation of the company and injuring its shareholders. (2AXC ¶¶ 70, 80-84.) However, the gravamen of the issue is not that the Cross-Complainants’ actions resulted in injury to the corporation that decreased the value of Sunpoint shares or that the value of Sunpoint shares actually decreased at all as a result of the Cross-Complainants’ actions; the thrust of the claim is that an improper analysis of Sunpoint by Magidov CPA produced an false –artificially low-- valuation of Sunpoint shares that injured Gary Johnson when he was forced to sell his shares at that artificially low price, *i.e.*, “for less than fair market value.” (2AXC ¶ 83.) The central point of the Third Cause of Action is that misrepresentations about the value of the company injured a particular shareholder, Gary Johnson, not injury to the value of the company, or a dissipation of Sunpoint assets.

Another indication that the Third Cause of Action does not constitute a derivative claim is revealed in the nature of the remedy sought. The Third Cause of Action does not “seek to recover assets for the corporation or to prevent the dissipation of its assets,” as described in *Jones v. H. F. Ahmanson & Co.*, supra, 1 Cal. 3d at 106-107. Instead, it seeks damages for the loss in the shareholder’s share value—precisely the type of relief prohibited by the court in *Rankin* when it held, “An individual [stockholder] may not maintain an action in his own right . . . for destruction of or diminution in the value of the stock.” *Rankin*, supra, 47 Cal.App. 3d at 95.

The Third Cause of Action alleges

“Moreover, since terminating Gary Johnson, Kevin Johnson, and Sandi Smith, Masood Kahn and Gregory Clifford have mismanaged Sunpoint in bad faith and self-dealing such that the corporation is losing clients, money, *and value, which impacts and harms all of Sunpoint’s shareholders, including Gary Johnson.* As a direct and proximate result of Gregory Clifford’s and Masood Kahn’s failure to perform their fiduciary duties as directors of Sunpoint in good faith, Sunpoint and its *shareholders have been damaged in an amount to be proven at trial*, plus interest, and costs.” (2AXC, ¶ 84, emphasis added.)

The Third Cause of Action does not seek to recover assets on behalf of Sunpoint--instead it is a claim for damages measured by a alleged decline in the value of the shares, “including [those of] Gary Johnson.”

The Demurrer is **sustained** as to the Third Cause of Action for Breach of Fiduciary Duty claim against Gregory Clifford and Masood Kahn with leave to amend.

Fourth Cause of Action for Breach of Fiduciary Duty Against Masood Kahn

This Court sustained the previous demurrer as to this cause of action on the grounds that there is no private right of action for Corporations Code § 309. (*Lehman v. Superior Court* (2006) 145 Cal.App.4th 109, 120-21.) Cross Complainants no longer rely on Corporations Code § 309.

Cross Defendants demur to the Fourth Cause of Action on the grounds that [1] it improperly states a derivative claim, and [2] it is neither a compulsory nor a permissive Cross Complaint.

The court recognizes that the wrong alleged in the Fourth Cause of Action for breach of fiduciary duty is that Masood Kahn was self-dealing to receive referral fees which constitute deliberate diversion of corporate opportunities. (2AXC ¶ 90.) But just as it is with the Third Cause of Action the call for relief in the Fourth Cause of Action is in the nature of individual claim. Thus the demurrer is sustained.

The Fourth Cause of Action does not “seek to recover assets for the corporation or to prevent the dissipation of its assets,” as described in *Jones v. H. F. Ahmanson & Co.*, supra, 1 Cal. 3d at 106-107, but rather it seeks individual damages for decreases in the value of the stock, as prohibited by the Court in *Rankin*. “An individual [stockholder] may not maintain an action in his own right . . . for destruction of or diminution in the value of the stock.” *Rankin*, supra, 47 Cal.App. 3d at 95.

The Fourth Cause of Action describes alleged self-dealing by Masood Khan. (2AXC, ¶ 90.) However, it does not seek to recover assets for Sunpoint--instead it calls for damages measured by some decline in the value of the shares, “Such diversion of fees from Sunpoint to outside attorneys who paid Masood Khan personal referral fees, further reduced the revenues to Sunpoint and further reduced its valuation, to the harm and detriment of Sunpoint and its shareholders.” (2AXC, ¶90.) A derivative

claim would, for example seek restitution of improper fees from Khan to be paid to Sunpoint. But instead, the 2AXC alleges, “As a direct and proximate result of Masood Khan’s failure to perform his fiduciary duties in good faith and without self-dealing and conflicts, Sunpoint and its shareholders have sustained damages in an amount to be proven at trial. Gary Johnson, as shareholder, is entitled to his proportionate share of any such damages.” (2AXC, ¶ 94.) This call for relief in the form of individual shareholder damages measured by the diminution in the value of the stock is what makes the Fourth Cause of Action an improperly pled derivative claim.

The issue of compulsory or permissive cross complaint is moot as to the Fourth Cause of Action.

Thus, the Demurrer is sustained as to the Fourth Cause of Action for Breach of Fiduciary Duty against Masood Kahn with leave to amend.